EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Tuao is a 1st class municipality situated in the western part of Cagayan Valley, called the Itawes Region and composed of 32 barangays. The Municipality, which is under the third Congressional District of Cagayan, has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

For CY 2020, the Municipality of Tuao had a total of 456 personnel complement, consisting of 68 permanent, 1 temporary, 12 elective, 7 co-terminus, 19 casual, 7 consultants, 1 contract of service and 341 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

	2020	2019	Increase (Decrease)
Financial Position			
Total Assets	623,353,980.78	491,984,165.62	131,369,815.16
Total Liabilities	101,001,160.82	83,987,369.13	17,013,791.69
Total Government Equity	522,352,819.96	407,996,796.49	114,356,023.47
Financial Performance			
Total Income	287,350,895.98	198,567,679.31	88,783,216.67
Total Expenses	192,711,549.26	137,271,917.70	55,439,631.56
Appropriations, Allotments and Obligations			
Total Appropriations – Current	318,799,044.50	197,144,824.43	121,654,220.07
Total Obligations – Current	172,717,247.23	119,720,713.67	52,996,533.56
Total Appropriations – Continuing	72,712,290.25	76,476,790.25	(3,764,500.00)
Total Obligations - Continuing	31,290,531.16	21,814,358.06	9,476,173.10

The table below presents the fund transfers received by the Municipality from other agencies totaling P165,088,675.68, with comparative figures for CY 2019. There were no funds transferred to other agencies during the year.

	2020	2019	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	162,888,675.68	11,507,676.78	151,380,998.90
Local Government Units	2,000,000.00	8,000,000.00	(6,000,000.00)
Others	200,000.00	-	200,000.00
Total	**165,088,675.68**	**19,507,676.78**	**145,580,998.90**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Tuao for the year ended December 31, 2020 due to deviations from prescribed procedures and non-compliance with rules and regulations resulting in accounting deficiencies, thus, affecting the financial statements.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **Procurement of infrastructure projects totaling to P40,868,423.33, which were charged to the 20% Development Fund, were non-compliant with various applicable provisions of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184.**

In view of the foregoing, we recommended that the Management:

a. Submit the complete set of all bidded procurements to verify whether the contractors have complied with the instructions and conditions of the contracts and specifications of the projects;

b. Require the BAC, through its Secretariat, to post the Invitation to Bid, Notice of Award and the Notice to Proceed in the PhilGEPS, agency website, if any and in any conspicuous places of the Municipality to adhere to the transparency provision as this is one of the governing principles on government procurement;

c. Require the BAC to observe Section 22.1 of IRR of R.A. No. 9184 and justify their failure to conduct the pre-bid conference in the procurement of infrastructure projects goods with an approved budget of One Million (P1,000,000.00) or more;

d. Demand the winning bidders of all procurements to post the required performance security prior to contract signing and issuance of the Notice to Proceed;

e. Require the BAC to ensure that all prospective bidders submit their complete eligibility requirements before they are marked as "passed" and declared as LCB;

f. Require the Municipal Engineer to prepare the As-Built Plans for all completed projects and submit the same to the Municipal Accountant as a requirement in the final payment of the infrastructure projects;

g. Require the Municipal Accountant and the concerned officials to submit the lacking documents and ensure that all payments on all procurements are completely supported with the documentary requirements prescribed under COA Circular No. 2012-001, otherwise the same shall be suspended in audit;

h. Require the BAC to strictly comply with the provisions of R.A. No. 9184 in the conduct of public bidding and awarding of contracts/ projects; and

i. Require the BAC Members, BAC Secretariat and the TWG to revisit or familiarize themselves with the different rules and regulations set forth in R.A. No. 9184 and its Implementing Rules and Regulations.

2. **Forty-five (45) disbursement vouchers and its supporting documents totaling to P5,782,502.68 from CY 2020 transactions were not submitted for verification and audit, contrary to Section 100 of Presidential Decree No. 1445 and Section 7.2.1.a of COA Circular No. 2009-006 dated September 15, 2009, thus, the validity, propriety and completeness of the paid transactions could not be ascertained.**

We required that the Municipal Accountant cause the immediate submission of all unsubmitted paid DVs and the supporting documents to the Auditor for verification and audit as required in Section 100 of PD No. 1445 and Section 7.2.1.a of COA Circular No. 2009-006 dated September 6, 2009 to avoid the issuance of Notices of Suspension and/or Disallowance in audit on the subject transactions.

3. **One-time cleansing of Property, Plant and Equipment account balances was not undertaken, contrary to COA Circular 2020-006 dated January 31, 2020**

due to non-conduct of physical count of PPE, thus, the accuracy of the PPE account in the financial statements amounting to P251,919,153.14 cannot be verified.

We recommended that the Management comply strictly with the prescribed controls over PPE as provided for in pertinent laws, rules and regulations. We also recommended to the Management the following:

a. Create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station pursuant to COA Circular 2020-006 dated January 31, 2020;

b. Update the property records based on the results of physical inventory, and reconcile with accounting records thru the Inventory Committee created;

c. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

d. Direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE after the inventory taking pursuant to the Section 269 of the GAM for LGUs.

4. **Procurement of various goods through public bidding totalling to P6,458,161.30 were not supported with complete documentary requirements as prescribed in COA Circular No. 2012-001 and the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184, thus, the validity and propriety of the transactions could not be ascertained.**

   We recommended that the Management ensure that all payments to be made for the procurement of goods and infrastructure projects through public bidding are supported with the documentary requirements prescribed in COA Circular No. 2012-001 and the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184. Further, we recommended that the lacking documents be submitted immediately to facilitate the review of the aforementioned transactions.

5. **Payments of honararia and other allowances to non-personnel of the Municipality totalling to P1,365,009.09 were charged to donations, contrary to Sections 321 and 336 of R.A. No. 7160 or the Local Government Code of the Philippines.**

   We recommended that the Management:

a. Determine and appropriate the budget needed for the payment of honoraria and other allowances to avoid the use of appropriations allocated for other budgeted item(s) in accordance with Sections 321 and 336 of the Local Government Code; and

b. Ensure that future transfer/use of funds be supported by appropriation ordinance covering a supplemental budget and be transmitted to the Sangguniang Panlalawigan for review and approval.

E. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Disallowance or Charge issued to the Municipality.

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the 20 audit recommendations embodied in the CY 2019 Annual Audit Report, six (6) were implemented, ten (10) were partially implemented and four (4) were not implemented.